

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**

Application of Southern California
Edison Company (U 338-E) to
Establish Marginal Costs, Allocate
Revenues, and Design Rates.

Application 24-03-019
(Filed March 29, 2024)

**COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE
PROPOSED DECISION REGARDING SOUTHERN CALIFORNIA EDISON
COMPANY'S APPLICATION TO ESTABLISH MARGINAL COSTS, ALLOCATE
REVENUES AND DESIGN RATES**

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these opening comments on the *Proposed Decision Regarding Southern California Edison Company’s Application to Establish Marginal Costs, Allocate Revenues and Design Rates* (“Proposed Decision” or “PD”), issued by Administrative Law Judge Marcelo Poirier on March 20, 2026.

I. INTRODUCTION.

VGIC appreciates the opportunity to submit these comments on the PD. VGIC has also signed on to comments by the Joint Parties of the Vehicle-to-Grid Resource Proposal (“VGRP”) Settlement, Southern California Edison (“SCE”), CALSTART, Inc., Small Business Utility Advocates, Solar Energy Industries Association (“SEIA”), and VGIC (collectively, VGRP Parties). The Proposed Decision errs in rejecting the VGRP Settlement agreement, and VGIC recommends that the Commission approve the settlement as consistent with the law, reasonable in light of the whole record, and in the public interest. The Comments of the VGRP Parties discuss the reasonableness of the settlement agreement.

VGIC submits these comments specifically on the risk of *not* adopting VGRP. With this decision, the Commission is sending the signal to industry and broader stakeholders that California does not want bidirectional charging systems to export to the grid or participate in grid services. **This message means that the bidirectional charging industry and customer offerings will work towards serving only the needs of bidirectional charging customers, leaving benefits for broader Californians and ratepayers unrealized and potentially exacerbating cost shift concerns.**

II. THE COMMISSION MUST ENABLE GRID-INTERACTIVE ACTIVITIES THAT ENCOURAGE CUSTOMERS TO CONTRIBUTE TO THE GRID.

VGRP represents a necessary and timely response to the rapidly advancing bidirectional charging ecosystem. Every day, additional vehicles are sold in California with grid-parallel bidirectional charging features, including 24 models on the market today from 14 automotive brands, with four additional models from four more automakers announced for upcoming release. In total, VGIC estimates that there are 215,465 light-duty vehicles and 1,890 electric school buses in California that offer bidirectional charging features. Assuming SCE contains 33% of the state's EVs, an estimated 71,727 such vehicles may already be in SCE's service territory.¹

These vehicles represent a substantial and growing grid resource. The California Energy Commission ("CEC") notes an average light-duty EV battery exceeds 80 kWh² and a resulting approximately 18.5 GW of aggregate battery capacity statewide, surpassing California's installed

¹ *Prepared Testimony of Sylvie Ashford Addressing Southern California Edison's Test Year 2025 General Rate Case Load Growth Investments*. A.23-05-010. TURN-07. Page 11-13.
<https://docs.cpuc.ca.gov/PublishedDocs/SupDoc/A2305010/7090/526146968.pdf>

² California Energy Commission. *A Roadmap to Unlocking the Benefits of Bidirectional Charging*. March 2026. Page 2. <https://efiling.energy.ca.gov/GetDocument.aspx?tn=268952&DocumentContentId=106145>

stationary storage capacity.³ The CEC’s report estimates that bidirectional discharge can provide approximately three times the value of unidirectional managed charging.⁴ This scale underscores both the immediacy and magnitude of the opportunity.

Given this untapped potential, customers will seek safe ways to use these assets for their benefit. It is therefore critical that the Commission establish pathways that enable these resources to contribute to grid needs. The Proposed Decision suggests that additional evidence is required regarding “customer preferences and behaviors regarding export rates.”⁵ However, SCE has already surveyed customers and provided empirical evidence of customer acceptance and appetite for “V2G energy exports,” with 81% of SCE’s surveyed customers expressing at least “a little interested” and 16% of customers stating they are “very interested.”⁶ The CEC has also released updated data from 2025 showing that customers are willing to enroll in a bidirectional charging program, with 35% stating that they would be “Very Likely” to enroll in a program and an additional 34% stating that they would be “Likely” to enroll.

Absent export opportunities or participation in grid service programs, customers are likely to use these vehicles solely to meet onsite needs. The CEC’s Roadmap anticipates this outcome, noting that customers can prioritize vehicle-to-home (“V2H”) applications to offset consumption during peak time-of-use periods, *potentially through systems voluntarily islanded from the grid.*⁷ While such use cases can provide benefits, including an estimated 5 GW reduction

³ California Energy Commission. *A Roadmap to Unlocking the Benefits of Bidirectional Charging*. March 2026. Page 2. <https://efiling.energy.ca.gov/GetDocument.aspx?tn=268952&DocumentContentId=106145>

⁴ *Ibid* at 3.

⁵ PD at 45.

⁶ SCE, *Phase 2 of 2025 General Rate Case Amended Rate Design Proposals* (SCE-04A) at p. 125, lines 10-16, served to A.24-03-019 on August 26, 2024. <https://docs.cpuc.ca.gov/PublishedDocs/SupDoc/A2403019/7663/538693971.pdf>

⁷ The CEC roadmap refers to these systems as “grid disconnected.”

in residential peak load by 2030, **these systems may operate disconnected from the grid and therefore limit broader system value.**

This trajectory risks pushing customers to maximize private benefits rather than aligning their behavior with system needs. While V2H applications may occasionally coincide with grid benefits, they are unlikely to consistently deliver optimized system outcomes. Customers acting independently will not necessarily discharge at times of highest grid value, nor will they support load shaping in a way that reduces overall system costs.

VGIC is particularly concerned that this dynamic could lead to unintended cost shifts. In studies on the benefits of electrification, increased grid consumption during off-peak times reduces rates for all Californians.⁸ Shaping increased load, therefore, becomes important to maximize ratepayer savings, but *simply removing significant overall load from the system does not address California's affordability crisis and could lead to cost shifts among customers.*

In the absence of export compensation or clear grid-participation signals, **technology providers may increasingly design products for self-consumption or grid-disconnected use cases.** Early generations of bidirectional charging solutions are already marketed primarily for grid-isolated backup power. Technology development cycles are occurring now for products that will be deployed over the next three to five years. Without clear policy direction, these systems are likely to be optimized for customer-only use, including daily cycling for time-of-use arbitrage and elective islanding, even under “blue sky” or normal operating conditions.

⁸ The Public Advocates Office. Abishek, Benjamin Hoffman, Leo Steinmetz, and Richard Khoe. *Distribution Grid Electrification Model 2025*. <https://www.publicadvocates.cpuc.ca.gov/-/media/cal-advocates-website/files/presentations/251030-public-advocates-office-dgem-2025-slides.pdf>

To avoid this outcome, the Commission should approve VGRP and establish a framework that encourages bidirectional charging systems to remain connected to, and actively support, the grid. Providing a pathway for export and grid services will help align customer incentives with system needs, unlock the full value of these distributed resources, and ensure that benefits are shared across all ratepayers.

VGIC reiterates that, in the case of rejecting VGRP, there is an immense ratepayer cost of inaction, as this misstep will directly lead to greater development and deployment of very large home batteries (in the form of 80kWh/11kW bidirectional charging systems) that support grid defection and reduced utility revenue from these customers, directly undermining the Commission’s affordability goals.

III. THERE ARE NO OTHER EXPORT OPPORTUNITIES FOR BIDIRECTIONAL CHARGING SYSTEMS IN SCE SERVICE TERRITORY AFTER 2027.

Presently, there are very limited opportunities for bidirectional charging systems to provide value to the grid through exports in SCE’s service territory. The only currently available programs are the Emergency Load Reduction Program (“ELRP”), which is scheduled to sunset after 2027, and the Demand Side Grid Support Program (“DSGS”), which appears unlikely to continue beyond this year. As a result, absent further Commission action, bidirectional charging systems will effectively have no pathway to provide grid services after 2027. VGRP is designed to launch as ELRP phases out, providing a critical bridge that enables customers to continue providing grid services.

The PD also references arguments from the Cal Advocates suggesting that dynamic rates could serve as an alternative to VGRP for compensating EV exports. While VGIC agrees that dynamic rates are an important tool for advancing VGI, these rates remain nascent and will require

significant time to scale to broad customer adoption. Importantly, **SCE’s existing dynamic rate pilot does not permit exports, and SCE has not proposed export compensation in its current dynamic rate application.** In its 2025 decision on Load Management Standard-compliant rates, **the Commission declined to direct the large investor-owned utilities to include export compensation in their forthcoming dynamic rate applications.** As a result, SCE identified VGRP in its dynamic rate application as the appropriate mechanism to compensate bidirectional charging system exports, both of which rely on the Avoided Cost Calculator to reflect marginal system value.

Dynamic rates also introduce a level of complexity that limits near-term customer participation. There is no evidence in the record of this proceeding demonstrating that customers are interested in or prepared to enroll in dynamic export rates. While Pacific Gas and Electric Company (“PG&E”) has implemented dynamic export rates for bidirectional charging customers through its VGI pilots and Hourly Flex Pricing pilot, customer uptake has been limited, and **no residential customers have participated in the dynamic rate or dynamic export compensation component of these pilots.**⁹ This is the case even where PG&E has paired these rates with direct incentives for bidirectional equipment, an approach SCE has not yet implemented.

Even if the Commission were to direct SCE to develop a dynamic export rate today, substantial time would be required to design, approve, and operationalize such a tariff. As a practical matter, this timeline would extend beyond the expiration of ELRP in 2027, leaving bidirectional charging customers without any viable program or compensation mechanism to provide grid services.

⁹ California Public Utilities Commission. *VGI Policy, Pilots, and Technology Enablement: VGI Forum 2026 Event Recording*. At 04:01-04:04. <https://www.cpuc.ca.gov/industries-and-topics/electrical-energy/infrastructure/transportation-electrification/vehicle-grid-integration-activities>

In contrast, the Commission could adopt VGRP to provide direct grid benefits today. As discussed by comments from the Joint Settling Parties, the settlement agreement and time-varying export rates based on the Avoided Cost Calculator (ACC) will provide benefits in line with California's affordability goals.

IV. **CONCLUSION.**

VGIC appreciates the opportunity to provide these comments on the Proposed Decision. Given the record of this proceeding, the Commission should adopt the VGRP Settlement Agreement.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

Date: April 9, 2026